This is just the beginning of what leverage can give you when building wealth. If you could buy five leveraged deals identical to the first, your $100,000 could give you control of $500,000 worth of real estate. Instead of making one deal with a 5 percent return, leverage gives you the opportunity to make five deals. Instead of using $100,000 to make $5,000 in a year without leverage, you've used the same $100,000 to make $25,000! Alternatively, you could buy just one leveraged deal and leave the remaining money to support your lifestyle, invest passively in index funds, or pursue other more profitable business options.

It's easy to see why leverage can be addictive and how many people get themselves in trouble with debt. Todd Tresidder of *Financial Mentor* discussed this risk with Brad and Jonathan on the *ChooseFI* podcast. He pointed out, "Financial leverage is the only type of leverage that cuts both ways. It can kill you if you get it wrong, and it can make you very wealthy when you get it right."

One upside of owning real estate is that housing prices and rents tend to match or outpace the rate of inflation (i.e., an ongoing increase in prices). This means the same amount of money in the future will have less buying power than it does today. Leveraged real